



Qualification Programme Examination Panelist's Report

Module 1 –Accounting (December 2021 Session)

(The main purpose of the following report is to summarise candidates' common weaknesses and make recommendations to help future candidates improve their performance in the examination.)

(I) Section A – Multiple Choice Questions

General Comments

This paper consisted of 15 multiple choice questions. The session contained questions covering a wide range of topics in the syllabus, including both conceptual and computational types. The syllabus of this paper related broadly to the following topic areas:

- (a) Explaining the purpose of accounting;
- (b) Demonstrating an understanding of accounting principles;
- (c) Preparing accounting records and demonstrating management and control; and
- (d) Preparing and presenting financial statements from a trial balance or from incomplete records.

The multiple choice questions in this paper can be divided into two broad categories:

- (a) Conceptual questions worth 1 mark each; and
- (b) Computational questions worth 2 marks each.

On the whole, candidates' performance in this session was satisfactory, particularly on the computational questions, as computations are a key element of accounting. Candidates should improve their performance on foundational and conceptual questions in order to achieve better results.

Specific Comments

In general, candidates performed well on most of the computational questions but showed weaknesses in the following areas:

- (a) Understanding the effects of transactions on assets, liability, and equity;
- (b) Differentiating fundamental qualitative characteristics from enhancing qualitative characteristics;
- (c) Calculating different cost components of a manufacturing account; and
- (d) Determining cost elements of property, plant, and equipment.

Candidates' performance on questions related to foundational accounting knowledge was relatively weak. A number of candidates did not perform well on areas related to basic knowledge, particularly on the constitution of different cost components in a manufacturing account. Most candidates mixed up prime costs, cost of goods manufactured, and cost of sales. In addition, some candidates failed to distinguish between revenue expenditure and capital expenditure of non-current assets. These are fundamental aspects of accounting, so it appears candidates may not have sufficiently studied the syllabus in-depth.



(II) Section B – Written Questions

General Comments

The written questions tested the candidates' knowledge of accounting concepts, accounting entries related to correction of errors, and bank reconciliation statements. In addition, candidates were required to prepare financial statements for a partnership, which was the most important part of this section. In general, performance in this section was fair. Candidates were proficient in calculation-type questions but weak in essay or case-type questions. Candidates seem to have had difficulty in providing appropriate and sufficient rationale to support their answers in the essay-type questions. With regard to calculations, candidates performed well on the preparation of financial statements for a partnership based on the trial balance provided. However, candidates showed difficulty with questions testing their application of foundational knowledge on double entries.

Specific Comments

Question 1(a) – 15 Marks

This question required candidates to prepare a statement of profit or loss and other comprehensive income for a partnership in accordance with HKAS 1 (Revised). Performance was satisfactory. Many candidates demonstrated an understanding of the format and presentation of the statement. However, some candidates were not able to:

- (a) Correctly determine the profit on disposal of equipment and the associated effects on the calculation of depreciation for furniture and equipment;
- (b) Identify the value of closing inventory using the concept of lower of cost and net realisable value; and
- (c) Correctly adjust the advance receipt of commission income.

Question 1(b) – 4 Marks

This question required candidates to prepare an appropriation account for a partnership. Performance was not satisfactory. Many candidates failed to present the appropriation account and did not show an understanding of how profits should be adjusted in accordance with the partnership agreement and the apportionment of remaining profits among partners. A few candidates prepared partners' current accounts instead of an appropriation account for the partnership.

Question 1(c) – 14 Marks

This question required candidates to prepare a statement of financial position for a partnership in accordance with HKAS 1 (Revised).

Performance was satisfactory as most candidates demonstrated an understanding of the format and presentation of the statement. However, some candidates did not take into consideration the disposal of equipment in the cost and accumulated depreciation accounts of furniture and equipment. Additionally, many candidates failed to present partners' current accounts in the statement.



Question 2 – 9 Marks

This question required candidates to apply their judgment and analyse the two cases by identifying and explaining the appropriateness of accounting treatments with reference to the relevant accounting basis/ concepts.

Performance on this question was unsatisfactory, and most candidates failed to correctly mention the accounting basis/ concepts that had been violated. For case (1), a majority of candidates failed to explain the case in accordance with the offsetting concept. The majority of candidates mentioned faithful representation in this case, implying that they were not familiar with the fundamental accounting basis/ concepts.

For case (2), a majority of candidates were able to set out their answers correctly and explain the concept of accrual basis. However, most candidates failed to apply the concept and propose the appropriate accounting treatment in the case.

Question 3(a) – 20 Marks

This question required candidates to advise on the appropriate journal entries for correcting the mistakes made by the company. Performance was satisfactory for most cases, with the exceptions of Case (1) and (4). For Case 1, many candidates failed to correct the entries made in purchases and suspense accounts. Some candidates were unable to calculate the correct amount for the depreciation and interest expense as they did not take into consideration the date of acquisition nor did they apply a pro-rata basis in the calculations.

Performance was less than satisfactory for Case 4. Some candidates failed to double the amount for correcting the complete reversal of double entries. Moreover, a few candidates wrongly debited the cash account to recognise the transaction of direct bank transfer.

On the whole, most candidates failed to correctly describe the journal entries in the narratives, and a few candidates did not prepare narratives even though they were explicitly instructed to do so by the question.

Question 3(b) – 4 Marks

This question required candidates to revise profit based on the results from part (a). Performance was fair. A majority of the candidates simply adjusted the effect of the motor vehicle on the purchases account and the understatement of the sales account.

Question 4(a) – 7 Marks

This question required candidates to update the bank ledger account of a limited company.

Candidates' performance was satisfactory in this question. Most candidates were able to identify errors and make necessary adjustments in the bank ledger. However, some candidates failed to correctly describe the errors in the ledger accounts. A few candidates did not fully understand the concept of ledger accounts and used their own format in deriving the adjusted bank balance.



Question 4(b) – 7 Marks

This question required candidates to prepare a bank reconciliation statement for a limited company.

Candidates' performance was fair in this question. Most candidates correctly identified items to be reconciled, such as unpresented cheques and deposits in transit. A few candidates failed to mention the title of the statement in their answer.

(III) Conclusion and Recommendation

Overall, the performance of the candidates was satisfactory. Candidates were familiar with key accounting topics such as the preparation of financial statements.

Candidates are advised to strengthen their understanding of fundamental accounting topics, such as accounting basis/ concepts and fundamental/ enhancing qualitative characteristics, and the preparation of journal entries with narratives and ledger accounts. They are also recommended to be familiar with the most updated presentation format of financial statements for different types of business entities and to remind themselves of the proper preparation of journals with dates and appropriate narratives.

Candidates are also advised to put more effort into special topics such as correction of errors, suspense account, manufacturing account, and partnership accounts.

Candidates are encouraged to improve their writing skills and to be more confident when answering essay or case-type questions, as these questions seek to develop their foundational knowledge for the forthcoming module examinations. These could be improved by practicing examination-type questions from the pilot paper, past examination papers, or study materials. Candidates are reminded to read the questions carefully and to address the requirements of the questions. For essay-type questions, it is important to demonstrate an understanding of how the answers are structured.

On the whole, candidates are reminded to read the entire paper carefully, noting how many questions need to be completed, and to better plan the time they need to spend on each question. Remember to attempt all the questions in the paper and not to run over time with any particular question.